THE PSYCHOLOGY OF MONEY

TIMELESS LESSONS ON WEALTH, GREED, AND HAPPINESS

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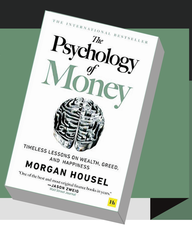

We are human beings with irrational feelings, not ROI-optimizing machines. Your financial success depends more on your soft skills (how you manage your psychology and emotional impulses) than your technical skills (knowledge of financial rules, laws and analyses).

Manage your Psychology & Relationship with Money

Know and overcome the common biases, unhelpful behaviors or attitudes about money.

You Know and Control Less Than You Think

You have a limited worldview

People from different generations, background & life experiences perceive money differently. We *think* we know how the world works, but our personal experiences are just a **fraction of the collective human experience**. Even our modern investment and retirement concepts are very new (<50 years old).

Beware your stories

We don't realize how much we don't know because our brains create stories to fill the gaps. This gives us the **illusion of certainty and control**. We become over-confident in our beliefs, skills and plans, and neglect factors beyond our control.

Skills & effort are overrated

Luck and random events have a bigger impact on our outcomes than skills/effort. History is shaped by rare, outlier events (e.g. WWII, invention of antibiotics). Your circumstances define your available opportunities. Your actions also create unintentional ripple effects.

You can't predict the future

Past data can't forecast future trends because they don't reflect people's changing stories, outlier events, and structural changes. The farther the historical analyses, the more generic the conclusions must be.

Failure is common

Mega-successes are rare, strongly influenced by luck/risk, and hard to replicate. We **underestimate how often things fail**, yet a few big wins can make up for many failures. You can be wrong about half your investments and still make a fortune.

There's cause for optimism

We notice and react more to bad news. However, pessimistic forecasts often fail to consider **future innovations and adaptations**. Humans have continually found creative solutions for medicine, fuel/food supply, etc. In the long run, things generally get better.

MANAGE YOUR LIMITATIONS & BIAISES IN FINANCIAL ANALYSES

Don't draw conclusions from specific examples. Look for **broader patterns** across examples which are easier to replicate.

Realize how much you don't know & can't control. **Beware the stories** you tell yourself.

Don't be too quick to judge. Things are never as good or as bad as you think.

Don't try to be perfectly rational. Aim for **reasonable decisions** given your human irrationalities.

Don't over-react to failures or try to beat the market. The best strategy is to **consistently invest for the long-term**.

Leverage the Power of Compounding

Time is the secret

Warren Buffett started investing at 10 y.o. and got >95% of his $84.5bil net worth after 65 y.o. His biggest secret is time. For compounding to work, an asset needs a **long, uninterrupted time** to grow. You don't need high returns; you need consistent returns.

Get wealthy ≠ Stay wealthy

To acquire money, you must take some risks. Once you have money, you need **frugality and caution** to keep the money long enough for compounding to work.

Pay the price for success

Everything has a price. Be willing to pay for good investment returns, just like how you pay for good food or holidays. Treat market volatility (and the associated doubt & uncertainty) as a **fee for investment**, not a loss or penalty.

ADOPT A SURVIVAL MINDSET TO BUILD WEALTH

Don't take big risks to maximize returns. Go for **decent**, sustainable returns.

Extend your time horizon: start as early as possible.

Use a **barbelled** approach: only take risks with a part of your funds and safeguard the rest.

Plan with a **margin of safety**. Cater for volatility, use conservative estimates for future returns, avoid single points of failure, and set aside some rainy-day funds.

Know & Focus on your Financial Goals

Stop shifting the goalpost

Be happy with enough, even if it's less than others. **Don't keep pursuing more**. There's no point losing what you have for what you don't need.

Freedom Is invaluable

Luxury goods won't make you happy, but a sense of control over your life will. The greatest wealth is to have the **time & freedom** to do whatever you want.

Money won't buy respect

Flaunting your wealth won't make others admire you. The best way to be liked and respected is to be **kind, humble, and empathic**.

Riches vs wealth

Wealth is the money you don't spend. Rich people spend their money now. Wealthy people keep their money and increase their options/buying power in future.

Save more

Your **savings rate** matters more than your income or investment returns. More savings mean more money to compound, more financial buffers, and more flexibility/control over your time.

There's cause for optimism

Don't blindly follow others as they may be playing a different game. Long-term investors shouldn't take the cue from short-term traders. Ignore generic stock recommendations that don't take into account your investment goals.

KNOW YOUR FINANCIAL GAME AND STICK TO IT

Write down your **financial goals/mission**. Stay focused.

Less ego → More wealth. Don't waste money to impress others.

Expect your priorities to **change over time**. Don't cling to past decisions. Move on.